

Chapter 3: Managerial Decision Making

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A. Characteristics of Managerial Decisions

Managers often avoid making decisions because they're unsure of the time and effort required, it's risky to fail, and it's easier to procrastinate. This is because most managerial decisions are difficult due to their **lack of structure**, the **risk** involved, **uncertainty**, and potential for **conflict**.

- Programmed Decisions: Programmed decisions are **repetitive, routine, and structured**. They are based on established policies, procedures, or rules, so managers don't need to analyze them from scratch each time. They are often made by lower-level managers and can even be automated. Because the process is straightforward, managers can use mental shortcuts, or **heuristics**, to make them quickly and efficiently.

Example: Reordering office supplies, processing employee payroll, or handling a routine customer complaint according to a company's refund policy.

- Nonprogrammed Decisions: Nonprogrammed decisions are **novel, unstructured, and complex**. There are no clear rules or guidelines to follow, and the information available is often ambiguous or incomplete. These decisions require a manager's creativity, judgment, and thoughtful analysis. They are typically made by higher-level managers and can have a significant impact on the organization.

Example: Deciding whether to enter a new market, developing a new product line, or responding to a sudden crisis like a product recall or a data breach.

- Characteristics of Managerial Decisions: Risk, Uncertainty, Lack of structure, and Conflict

1. Lack of Structure

- In managerial decision-making, a **lack of structure** refers to a situation where a problem is new, complex, and has no established procedure or "right answer" to guide the manager. This is the opposite of a "programmed decision," which is routine and has a clear set of rules.

- This principle contributes to the difficulty of nonprogrammed decisions because it means the manager must:

+ **Rely on their own judgment:** There is no automatic process to follow, so the manager must use creativity, intuition, and experience to figure out how to proceed.

+ **Face uncertainty:** Without a structured approach, it's difficult to predict the outcomes of different choices, which increases risk.

+ **Navigate conflict:** The lack of a clear framework can lead to internal conflicts, as different individuals or groups may have conflicting opinions on the best course of action.

=> Ultimately, a lack of structure in a decision means the manager is essentially building the decision-making process from scratch while also trying to solve the problem itself.

2. Uncertainty and Risk

- Certainty: The state that exists when decision makers have accurate and comprehensive information.

- Uncertainty: The state that exists when decision makers have insufficient information.

- Risk: exists when the probability of an action being successful is less than 100 percent and losses may occur.

3. Conflict

- Opposing pressures from different sources, occurring on the level of psychological conflict or conflict between individuals or groups

- Psychological Conflict (Within the Individual): This happens when a manager's inner feelings or values clash with the decision they have to make. This can manifest in two ways:

+ When all options are attractive: A manager must choose between multiple good choices, but picking one means giving up the others (Example: Choosing which one of three equally qualified candidates to hire)

+ **When none of the options are attractive:** A manager must make a decision where all outcomes are negative or undesirable (Example: Being forced to lay off employees during a company restructure.)

B. The Phrases of Decision Making

1. Identifying and Diagnosing the Problem

In the first phase of decision-making, a manager must identify and diagnose a problem. This involves recognizing a gap between the current state (how things are) and a desired state (how they should be). This discrepancy can be a problem to be solved or an opportunity to be seized.

Key Steps

1. **Recognize the discrepancy:** Compare current performance against past performance, the performance of other organizations, or future plans.

2. **Analyze the causes:** Ask "why" to understand the root cause of the problem, rather than jumping to solutions. For example, a sales manager with dropping sales should investigate the reasons before firing staff or increasing advertising.

3. **Identify opportunities:** A problem can also be an opportunity. Understanding your company's environment is crucial for recognizing these. For example, the founders of Capterra noticed low website traffic. By asking "why" and surveying users, they found the real problem was the lack of vendor reviews—a key feature users wanted. Adding this feature helped solve their problem.

II. Generating Alternative Solutions

1. Identify and diagnose the problem

2. Generate alternative solutions

3. Evaluate alternative

4. Make the choice

5. Implement the decision

6. Evaluate the decision

- Ready-made solutions: Ideas that have been or tried before
- Custom-made solutions: New, creative solutions designed specifically for the problem

III. Evaluating Alternatives

1. **Predict Consequences:** Evaluate each alternative by predicting the results if it were implemented.

2. **Use Data:** Modern decision-making uses big data and analytics to evaluate alternatives more effectively. This allows managers to analyze massive amounts of information to find patterns and trends that might not be obvious otherwise.

3. **Refer to Original Goals:** Compare each alternative against the goals established in the first phase of decision-making.

4. **Create Contingency Plans:** For uncertain situations, develop backup plans (contingency plans) to prepare for different possible scenarios. For example, the founders of Capterra evaluated alternatives for their website, such as testimonials, anonymous reviews, and balanced reviews, by considering the potential consequences for both vendors and buyers. They ultimately chose to implement a balanced review system, despite some vendor concerns, because it best met their goal of increasing traffic.

IV. Making the Choice:

- **Maximizing:** This involves a thorough search for all possible options and choosing the absolute best one. It aims for the greatest positive outcome and the fewest negative consequences.
- **Satisficing:** This is a more practical approach where you choose the very first option that meets the minimum requirements. It's often used when time is short or the decision is not critical.
- **Optimizing:** Choosing an option that is acceptable, although not necessarily the best or perfect.

V. Implementing the Decision

- **Careful Planning:** Don't mistake talking or planning for actual action. A solid implementation plan should:
 - Define what the final, operational state of the decision will look like.
 - Break down the implementation into a chronological series of steps.
 - List all necessary resources and activities for each step.
 - Estimate the time required for each step.
 - Assign specific individuals to be responsible for each step.
- **Anticipate Challenges:** Assume that the implementation process won't be smooth. It's crucial to identify potential problems and opportunities in advance so you can prevent issues and be ready to seize unexpected opportunities.

VI. Evaluating the Decision

- **Measure Success:** Set quantifiable goals before implementing the decision to accurately measure its success or failure.
- **Use Feedback:** Positive feedback suggests the decision is working and could be applied elsewhere. Negative feedback means the solution needs more time, resources, or was not the right choice.
- **Adjust and Restart:** If the decision proves inadequate, the process cycles back to the beginning, allowing you to redefine the problem and try a new approach with the benefit of new information.

VII. The Best Decision

- **Vigilance:** A process in which a decision maker carefully executes all stages of decision making

C. Barriers to Effective Decision Making

- It's important to be **vigilant** and follow the six-phase decision-making process to make the best possible choice. However, in reality, managers often neglect or improperly execute these steps.
- This can lead to problems such as:
 - An improperly defined problem.
 - Inadequate evaluation of solutions.
 - Making a "satisficing" choice instead of a maximizing one.
 - Poorly planned or executed implementation

1. Psychological Biases

1. Illusion of Control:

- + This is the belief that one can influence events even when they have no control over what will happen.
- + In business, this overconfidence can lead to failure because managers ignore risks.

2. Framing Effects

- + This bias shows how the way a problem or decision is phrased can override objective facts.
- + For example, managers were more willing to invest in an option with a "**70% chance of profit**" than one with a "**30% chance of loss**," despite the options being equivalent.

3. Discounting the Future

- + This is when people weigh **short-term costs and benefits more heavily** than long-term ones.
- + This bias can lead to negative long-term consequences. For example, a manager might hesitate to invest in R&D that won't pay off for years, even if it would be beneficial in the long run.

II. Time Pressures: While acting quickly is often seen as a premium in today's business environment, making decisions too fast can be disastrous. The text highlights that both being too slow and too fast have their own risks.

- Effective managers in fast-paced industries use these tactics to make quick but good decisions:
 - + **Focus on Real-Time Information:** They rely on current, up-to-the-minute data rather than old information or long-range forecasts. They constantly monitor daily metrics instead of waiting for traditional reports.
 - + **Effective Use of People:** They involve trusted experts to get good advice and the confidence to act quickly. They value differing opinions but know when to make a final decision to avoid being "stymied by conflict."
- In today's fast-paced world, managers often have less time to make decisions, even though they have access to more information. The digital world is helping to bridge this gap by providing real-time data:
 - + **Social Media:** During crises or disasters, social media posts and images provide real-time, curated data to aid in decision-making. This allows rescue workers, for example, to quickly identify blocked routes and save transportation time
 - + **Citizen-Provided Data:** The text provides an example from Kenya, where citizens use real-time posts to share information about election polling stations. This empowers them to make safer, more informed decisions about where to vote.

III. Social Realities

Many decisions in an organization are made by a group rather than an individual. Even a single manager acting alone must consider the preferences of other people, making many decisions the result of intense social interactions, bargaining, and political maneuvering. The text notes that in slow-moving firms, these interpersonal factors can decrease decision-making effectiveness. The rest of the chapter will focus on these social realities of decision-making within an organization.

D. Decisions Making in Groups (Group Decision Making)

Group decision-making, also known as collaborative or collective decision-making, involves a group of individuals collectively choosing from a set of alternatives. While often preferred in the workplace to generate buy-in and encourage creativity, it comes with both advantages and disadvantages.

I. Potential Advantages:

- + **Synergy and Information Sharing:** A group's combined knowledge and expertise can lead to better judgments than an individual's.
- + **Increased Acceptance:** When people participate in the decision-making process, they are more likely to support the final decision, which enhances implementation success.
- + **Diversity of Opinions:** Different viewpoints, experiences, and backgrounds can reduce individual biases and lead to more comprehensive analysis and a greater number of creative ideas.
- + **Improved Problem-Solving:** The collective effort helps build stronger teams and improves overall problem-solving skills.

II. Potential Problems:

- + **Groupthink:** This is a major pitfall where the desire for harmony or conformity overrides the need for critical evaluation and dissent. This can lead to irrational and dysfunctional decisions.
- + **Diffusion of Responsibility:** When a group makes a decision, no single person feels fully accountable for the outcome, making it easier to blame others for bad decisions.
- + **Lower Efficiency:** Group decisions can be less efficient and more time-consuming than individual ones due to the need for participation, discussion, and coordination.

III. Managing Group Decision-Making: To overcome these challenges, managers can use several techniques

- **Nominal Group Technique:** This method encourages all members to contribute ideas independently and then rank them, which helps to alleviate the fear of criticism.
- **Devil's Advocate:** Assigning an individual to challenge proposals and probe underlying assumptions can help prevent groupthink and lead to a more in-depth critical evaluation.
- **Dialectical Inquiry:** The group is divided into two subgroups that develop and debate opposing sets of assumptions and recommendations. This can lead to a final solution that incorporates the best elements from both sides.
- **Focus on Real-Time Information:** In fast-paced environments, effective groups rely on current data rather than outdated information to make timely and high-quality decisions.
- **Define Roles and Responsibilities:** Clear ground rules and assigned roles (like with the RAPID or RACI models) can help manage disagreement and ensure

E. Organizational Decision Making

Organizational decision-making is a complex process influenced by various factors and constraints. The text discusses the following key aspects:

I. Constraints on Decision Makers:

Organizations, and the people within them, are limited by a variety of constraints, including **financial, legal, market, human, and organizational** factors. Even brilliant ideas must be sellable to others and take into account practical matters of implementation.

- **Crowdsourcing:** A method, inspired by the millennial generation, used to solicit ideas from large online networks, often at a lower cost than hiring experts. The text provides examples of how companies like PepsiCo and Havenly have used this for product development and feedback.

II. Organizational Decision Processes:

Traditional rational models of decision-making are challenged by **bounded rationality**, which recognizes that decision-makers have incomplete information, are faced with complex problems, and have conflicting goals. The text presents three alternative models that are more realistic:

- **Incremental Model:** Solutions are reached through a series of small, cautious decisions rather than one major one.
- **Coalition Model:** Groups with different preferences form coalitions and use power and negotiation to influence decisions. This process can be political.
- **Garbage Can Model:** Decisions are chaotic and seemingly random because people may be unsure of or disagree on goals and solutions,

and key decision-makers move in and out of the process.

III. Decision Making in a Crisis:

In a crisis, managers must make decisions under immense pressure. The text emphasizes that having an **effective crisis plan (CM)** is crucial. This plan should include:

- **Strategic actions:** Integrating crisis management into official policies.
- **Evaluation and diagnostic actions:** Conducting audits of potential threats.
- **Technical and structural actions:** Creating a dedicated crisis management team and budget.
- **Communication actions:** Training for dealing with the media and stakeholders.
- **Psychological and cultural actions:** Providing support services for the human impact of crises.